

AGREEMENT OF LEASE

MADE AND ENTERED INTO BY AND BETWEEN:

CITY OF EKURHULENI

(Hereinafter referred to as the **LESSOR** on the one part)

and

e15

ID No *e1*

(Hereinafter referred to as the **LESSEE** on the other part)

NOW, THEREFORE THE PARTIES AGREE AS FOLLOWS:

1. That the **LESSOR** is the registered owner of ***e2*** (hereinafter called **THE UNIT**).
2. That the **LESSOR** is prepared to let the **unit** to the **LESSEE**, and the **LESSEE** is prepared to hire the **unit** from the **LESSOR**.
3. That the **LESSOR** and the **LESSEE** have reached agreement as to the terms upon which such letting and hiring shall be made, subject to such terms being recorded in writing.
- 3.1 The terms and conditions contained in this lease agreement shall in no way exonerate the **LESSEE** of any indebtedness to the **LESSOR**, which exist as a result of any prior agreement between the **LESSEE** and the **LESSOR**.

4. LETTING AND HIRING

The **LESSOR** hereby lets, and the **LESSEE** hereby hires, the **unit** as described in clause 1.

5. DURATION AND TERMINATION

- 5.1 The Lease shall commence on ***e3*** and expire on ***e4*** (period not to exceed two years) unless terminated prematurely in accordance with clause 5.2 hereof
- 5.2 This Agreement may be terminated with one calendar month's written notification by either party.

6. RENT

- 6.1 The **LESSEE** shall pay to the **LESSOR** an amount equal to one month's rental as a deposit on date of signature of this agreement. Should, the **LESSOR** on termination of this lease and after inspecting the **unit** find that all fixtures, fittings and installations in or outside the **unit** are not in good order or condition; the **LESSEE** shall forfeit the said deposit. The **LESSEE** shall keep the original receipt as proof of payment of deposit.
- 6.2 The rent payable by the **LESSEE** under this Lease shall be the sum of **R *e5*** per month until 30 June of the following year.
- 6.2.1 The first month's rent shall be payable on date of signature of this agreement and thereafter in advance on the first day of each month, following the date on which the first payment was made.
- 6.2.2 The rental shall be payable to the **LESSOR** at such address as nominated by the **LESSOR**.

6.3 ANNUAL RENTAL INCREASES

Rental will be increased annually on 1 July by a percentage to be determined by Council from 2010 onwards using the rental as determined in this Policy for 2009 as a baseline.

- 6.4 Should the **LESSEE** fall in arrear with rental payments, whether by defaulting on payment or by arrangement with the **LESSOR**, interest on the rate of the prime rate of interest charged by the **LESSOR**'s banker plus 2% (two per centum) per annum shall be payable by the **LESSEE** on such arrears. Any indulgence by the **LESSOR** in this regard shall not be regarded on a waiver of any of the rights that the **LESSOR** may have in terms of this agreement.

7. USE OF UNIT:

The **LESSEE** shall use the **unit** solely for the purposes of a private residence and shall not be entitled to sublet the **unit** or any part thereof.

8. MAINTENANCE

- 8.1 During the currency of this lease the **LESSOR** shall at his expense maintain the structural integrity of all main walls and roofs and it shall be the duty of the **LESSEE** to acquaint the **LESSOR** with the existence of any defect coming into existence in any such wall or roof as soon as the **LESSEE** shall acquire knowledge thereof.
- 8.2 The **LESSEE** shall during the currency of this Lease at his expense;

8.2.1 keep in good repair and in a sanitary condition the exterior and the interior of the **unit**, including all doors and windows;

8.2.2 keep in proper working order and good repair all locks, latches, door-handles, other fittings, all electric and other installations in and outside the **unit** (provided that any major breakdown of any electrical, water or sewerage installation, with the express exception of defective cooking appliances where such appliances were supplied by the **LESSOR**, shall be remedied by the **LESSOR**) unless such breakdown was caused by the negligence of the **LESSEE** or any other occupant of the **unit**, in which case the provisions of this sub-clause other than this proviso shall apply;

8.2.3 replace any such locks, latches, door handles and other fittings, and (subject to the proviso in sub-clause 8.2.2 of this clause) any such electrical and other installations, which may be damaged beyond repair, and any broken windowpanes and lost or damaged keys.

8.2.4 The maintenance of stoves, where provided, shall not be undertaken by the **Lessor** nor shall a stove be replaced.

8.3 Should the **LESSEE** fail in any respect to comply with sub-clause 8.2 of this clause the **LESSOR** shall have the right, without prejudice to his rights under the other terms of this lease, to give to the **LESSEE** I (one) month's written notice to remedy such failure. Should the **LESSEE** fail to comply with such notice, the **LESSOR** shall be entitled to effect any necessary repair or replacement at the expense of the **LESSEE**, who, shall pay the amount thereof to the **LESSOR**, on demand.

9. ACKNOWLEDGEMENT BY LESSEE AS TO CONDITION OF UNIT AT INCEPTION OF LEASE

The **LESSEE** hereby acknowledges that the **unit**, both externally and internally, are, and all windows, locks, latches, door handles and other fittings, and all electrical and other installations, both exterior and interior, are, in good order and condition.

10. LIMITATION OF LESSOR'S LIABILITY FOR DAMAGE CAUSED BY SUPERVENING DEFECTS:

The **LESSOR** shall not be liable to the **LESSEE** in respect of any loss or damage, whether to person or property, caused by any defect in the **unit** coming into existence during the currency of this Lease.

11. RECTIFICATION OF DEFECTS OR REPAIRS NECESSITATING VACATION OF UNIT:

11.1 If at any time during the currency of this Lease the rectification of any defect in, or the affecting of any repair to, the **unit** (or to any electrical or other installation in or outside the **unit**) by the **LESSOR** necessitates the temporary vacation of the **unit** by the **LESSEE**, the **LESSEE** shall, within thirty (30) days after receiving a written request to do so from the **LESSOR**, vacate the **unit**, but the **LESSEE** shall not therefore be entitled to any remission of rent; provided that, if within seven (7) days after the **lessee** has vacated the **unit**, occupation thereof is not restored to the **LESSEE**, he shall be entitled to give written notice to the **LESSOR** that such occupation is required, and if, within seven (7) days after the receipt of such notice by the **LESSOR**, such occupation is not tendered to the **LESSEE** by the **LESSOR**, the **LESSEE** shall be entitled to cancel this Lease.

11.2 Sub-clause 11.1 of this clause shall have no application where any rectification or repair therein mentioned is necessitated by partial destruction of the **unit** as a consequence of vis major or casus fortuitous, and in any such case the provision of clause 12 shall apply.

12. TOTAL OR PARTIAL DESTRUCTION OF UNIT BY VIS MAJOR OR CASUS FORTUITOUS:

If as a consequence of vis major or casus fortuitous the **unit**:

12.1 is wholly destroyed, this Lease shall thereupon terminate;

12.2 is partially destroyed, the **LESSEE** shall enjoy an abatement of rent in proportion to the extent to which he is deprived of use and occupation of the **unit** until the partial destruction thereof is remedied; the amount of such abatement shall be agreed between the **LESSOR** and the **LESSEE** and, if they do not agree, shall be determined by arbitration, pending agreement as to, or determination of, the said amount, as the case may be, the **LESSEE** shall continue to pay rent in terms of clause 6 hereof, but the **LESSOR** shall be obliged to refund to the **LESSEE** such part of such rent as, in the light of the said amount, ought not to have been paid by the **LESSEE**.

13. LESSEE NOT TO CONTRAVENE LAWS ETC.

The **LESSEE** shall not contravene, or permit any contravention of any law, bylaw, regulation or direction of any competent authority, relating to or affecting the **unit** and/or the said immovable property.

14. INSURANCE

14.1 The **LESSEE** shall not

14.1.1 use or store, or allow to be used or stored, on or within the **unit** any liquid or other article of a dangerous or inflammable nature, which endangers the **unit**;

14.1.2 do anything, which may, or may be calculated to, increase the rate of any insurance presently held by the **LESSOR** in respect of the **unit**, or invalidate or otherwise endanger any such insurance.

The **LESSEE** hereby acknowledges that he is aware of the contents of the policy (policies) providing for the said insurance.

15. IMPROVEMENTS:

The **LESSEE** shall not make any external or internal alterations or additions to the **unit**, whether structural or otherwise without the prior written consent of the **LESSOR**. Any such alteration or addition to the making of which the **LESSOR** has consented shall be made by the **LESSEE** at his expense, shall be properly

made and out of sound material and not be removed at the termination of this Lease (save with the **LESSOR's** written consent) and shall become the property of the **LESSOR**.

16. LESSOR’S RIGHT OF INSPECTION:

The **LESSOR** shall be entitled:

- 16.1 at all reasonable times and, at his election, in the company of an architect, quantity surveyor, builder or workmen, to inspect the **unit**, both externally and internally;
- 16.2 to introduce any builder or workman on to the said immovable property, and/or within the **unit**, for the purpose of the execution of any work, the performance of which is necessitated by any obligation imposed upon, or right granted to, the **LESSOR** by this Lease or subject to the terms of this lease, by the common law;
- 16.3 to gain access to the **unit** within 24 hours of giving notice of intension to do so for purposes of inspection or repairs to any prepaid electrical device or installation.

17. REMEDIES UPON BREACH BY THE LESSEE:

Should the **LESSEE** fail to pay the rent on the due date, or commit a breach of any of the other terms of this Lease, the **LESSOR** shall be entitled, upon the expiry of fourteen (14) days’ written notice to the **LESSEE** to pay such rent or remedy such breach, as the case may be, forthwith to cancel this lease and to recover possession of the **unit** without prejudice to the **LESSOR's** rights to claim unpaid rent and any damages he may have sustained consequent upon any such failure of breach, unless within the aforesaid period of fourteen (14) days, such rent shall have been paid or such breach shall have been remedied, as the case may be.

18. DISREGARD OF BREACH, OR GRANT OF INDULGENCE, NOT TO PREJUDICE LESSOR’S POSITION:

The **LESSOR** shall at any time be entitled to invoke the provisions of clause 17 hereof, notwithstanding that he may previously have disregarded any particular breach or breaches of this lease by the **LESSEE** or that he may previously have accorded to the **LESSEE**, expressly or by implication, permission to perform otherwise than strictly in accordance with the obligations hereunder.

19. ORAL VARIATION OF LEASE INEFFECTIVE:

No term of this Lease shall be suspended, modified, cancelled or otherwise varied save by means of a further written agreement signed by the **LESSOR** and the **LESSEE**.

20. RESTORATION OF UNIT AT TERMINATION OF LEASE:

Subject to the terms of this Lease, the **LESSEE** undertakes at the expiry thereof to restore to the **LESSOR** possession of the **unit**, and all fixtures, fittings and installations in and outside the **unit** in good order and condition.

21. SERVICE OF NOTICES:

The **LESSEE** chooses his *domicilium citandi et executandi* at the address referred to in Clause 1 and any notice by the **LESSOR** to the **LESSEE** in connection with the Lease, addressed to the **LESSEE** and posted to such domicile, shall be deemed to have been received by the **LESSEE** on the day after the day upon which it was posted. Notice may also be served on the **LESSEE**, by hand, by or on behalf of the **LESSOR**, by means of obtaining a signature therefore or placing it under the door of the **Unit** which action must be witnessed.

22. LESSEE TO PAY ATTORNEY AND CLIENT COSTS AND COLLECTION COMMISSION IF LEGAL PROCEEDINGS ARE TAKEN AGAINST HIM:

In the event of the **LESSOR** being obliged to instruct an attorney to take legal proceedings against the **LESSEE** to obtain possession of the **unit** and/or payment of arrears of rent and/or damages for breach of this agreement and/or performance of any of the terms hereof, then the **LESSEE** shall pay all legal costs incurred by the **LESSOR** in connection therewith as between attorney and client, including such collection commissions as such attorney may be in law entitled to charge.

23. BLACK LISTING

Persistent defaulting on any monies owing to any local authority will lead to the blacklisting of that person with regard to the allocation of Municipal Housing

24. MEMORANDUM OF AGREEMENT

Whereas the above mentioned parties have applied jointly to lease the rental unit on the basis that they are either married or cohabiting as if they are married, the parties agree and acknowledge that they will be joint tenants of the unit.

The tenant or tenants further agree that in case of death of tenant or tenants, they nominate:

Title *e6* Name *e7*

Surname *e8*

ID Number *e9*

Relationship to the tenant or tenants *e10*

to continue with the Lease Agreement for the rental unit, **provided that such nominee must be of legal age, a member of the tenant’s family already residing in the residence and declared on the original application form .**

SIGNED AT ON THIS **DAY** OF

.....

SIGNATURE OF APPLICANT SIGNATURE OF SPOUSE/PARTNER

AS WITNESSES :

1.

2.

SIGNED AT BY THE **LESSOR** ON THIS..... DAY OF

.....

SIGNATURE OF LESSOR

AS WITNESSES :

1.

2.